

erably less aware of regulators and stock prices, and he probably doesn't have options. He hasn't become skilled in double-talk. You can really learn what's going on.

Research coverage is still spotty enough that most overseas markets are far less efficient than our own. In 1989 my wife, Leah, found a small German software company, SAP AG, that we thought unusually cheap, mainly because German investors didn't understand it. The software business was too new for them to evaluate. Anyway, it was a growth stock, and German investors want asset-rich companies. Our German contacts assured us no one in Germany would buy SAP because it had no hard assets. They labeled it an "American" stock and more or less ignored it.

---

Investing in small companies overseas now is like investing in them in this country twenty-five years ago.

---

We took a fairly large position in the stock and it did well enough. In time, Leah learned that earnings for the current year were probably going to be lower than German researchers were forecasting, so she sold the position. A whole month later, a Wall Street analyst called on the company and got the word on the earnings shortfall. A profits warning was issued and the stock promptly fell. In the United States a major earnings disappointment would have been discovered and passed through the entire investment community in hours, not a month. The stock fell far enough that she bought it back.

Then the company was discovered. It was the subject of a feature article in *Fortune* in September 1995, and it's now listed on the DAX, the German equivalent of the New York Stock Exchange. SAP